

Bain Capital, 11North Partners Pay \$300M for Five Open-Air Malls

\$300 m

Debt / financing

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The numbers tell the story

\$300 m

Debt / financing

\$185 b

Debt / financing

\$396

Debt / financing

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Bain Capital is a multi-asset alternative investment firm with \$185 billion in assets under management.

11North Partners is a New York-based real estate investment firm focused on retail. The two formed an exclusive joint venture for this transaction.

Martha Kelley, a managing director for real estate at Bain Capital, said the assets align with the firm's strategy of building a portfolio of institutional-quality, open-air...

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Retail has surged over the last year as demand rises and capital markets stabilize, according to Cushman & Wakefield research. Open-air malls lead the recovery. Foot traffic at these centers increased 6.4 percent between January and February of this year, per Placer.ai data. That metric is the strongest in the retail sector.

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Brian Harper, founder and managing partner at 11North, described open-air, grocery-anchored retail as demonstrating some of the most compelling risk-adjusted fundamentals in real estate. He said the firm is acquiring high-quality, irreplaceable assets in undersupplied markets at a basis structurally difficult to replicate. The statement did not disclose the basis per square foot, but \$300 million divided by 757,000 square...

The deal is private.

The deal is private. No financing details were released. Bain Capital and 11North Partners did not disclose leverage levels, debt sources, or cap rates. Institutional buyers in this segment typically target stabilized yields between 6.5 percent and 8.0 percent on grocery-anchored centers, per CBRE data. At \$300 million, the portfolio likely generates \$19.5 million to \$24 million in annual net operating income.

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Open-air malls have outperformed enclosed malls for five consecutive quarters, according to Cushman & Wakefield. The shift accelerated during the pandemic as consumers favored drive-to, outdoor formats. Grocery-anchored centers benefit from non-discretionary spending patterns. Vacancy rates for grocery-anchored retail hover near 4.5 percent nationally, per CoStar data.

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Bain Capital's entry is notable.

Bain Capital's entry is notable. The firm has been selective in retail, focusing on necessity-based assets with strong demographic tailwinds. Its proprietary data-driven underwriting framework evaluates markets, submarkets, and individual assets. Kelley said this framework allows precision and conviction that is differentiated in the sector. The statement suggests Bain is not chasing yield but deploying capital into a thesis...

11North Partners brings operating expertise.

11North Partners brings operating expertise. The firm has acquired over \$1.5 billion in retail assets since inception. Its strategy targets value-add opportunities in open-air centers, often repositioning through tenant mix optimization and capital improvements. The joint venture structure allows Bain to leverage 11North's execution capabilities while maintaining institutional governance.

The acquisition signals a broader shift.

The acquisition signals a broader shift. Institutional capital that fled retail during the pandemic is returning, but selectively. Grocery-anchored, open-air centers are the preferred vehicle. The thesis rests on three pillars: necessity-based demand, limited new supply, and rising barriers to entry in infill locations. Each of the five properties sits in a metro area with population growth above the national average.

What this deal does not say is as important as what

What this deal does not say is as important as what it does. It does not signal a broad retail recovery. It signals a bifurcation. Class A open-air centers with strong anchors and dense trade areas attract institutional capital. Class B and C malls, especially enclosed, remain distressed. The gap between winners and losers is widening.

If foot traffic continues to rise, more capital will follow.

The headline is the transaction. The story is the structure.

If the capital stack works, the deal becomes a signal. If it does not, it becomes a warning.

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